



Quarterly Report
of the DINO POLSKA S.A. Group
for Q1 2022



Unofficial translation. Only the Polish version is binding.

Dino Polska Spółka Akcyjna ("Dino", "Company", "parent company")

Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. NIP no. 6211766191, REGON no. 300820828. The Company's share capital as at 31 March 2022 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document ("Q1 2022 Report", "Report") comprises the condensed quarterly consolidated financial statements (unaudited) of the DINO POLSKA S.A. Group ("Group", "Dino Group") for Q1 2022 ("Financial Statements"), the Company's condensed financial information and additional information required by the pertinent legal regulations.

Unless specified otherwise, the data in this Report comes from Dino. This Report was approved for publication on 5 May 2022 ("Report Date"). The date of publication is 5 May 2022.

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1. DINO GROUP'S FINANCIAL HIGHLIGHTS

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>01.01.2022- 31.03.2022</i>	<i>01.01.2021- 31.03.2021</i>	<i>01.01.2022- 31.03.2022</i>	<i>01.01.2021- 31.03.2021</i>
Sales revenue	3,854,257	2,760,700	829,372	603,814
Operating profit	262,854	187,765	56,562	41,068
Profit before tax	235,115	177,336	50,593	38,787
Net profit	191,375	144,835	41,181	31,678
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	1.95	1.48	0.42	0.32
Cash flow from operating activities	(97,836)	193,095	(21,053)	42,233
Cash flow from investing activities	(335,368)	(366,849)	(72,166)	(80,236)
Cash flow from financing activities	292,010	(23,540)	62,836	(5,149)
Net change in cash and cash equivalents	(141,194)	(197,294)	(30,383)	(43,152)

* In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- average NBP exchange rate for Q1 2022: 4.6472 EUR/PLN
- average NBP exchange rate for Q1 2021: 4.5721 EUR/PLN

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>31.03.2022</i>	<i>31.12.2021</i>	<i>31.03.2022</i>	<i>31.12.2021</i>
Total assets	7,409,268	7,168,531	1,592,535	1,558,580
Total non-current assets	5,433,597	5,183,347	1,167,888	1,126,962
Total current assets	1,975,671	1,985,184	424,647	431,618
Equity	3,261,565	3,070,190	701,035	667,520
Share capital	9,804	9,804	2,107	2,132
Non-current liabilities	1,317,854	1,092,804	283,257	237,597
Current liabilities	2,829,849	3,005,537	608,243	653,463

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 March 2022: 4.6525 EUR/PLN
- NBP's average exchange rate as at 31 December 2021: 4.5994 EUR/PLN

2. MANAGEMENT BOARD ACTIVITY REPORT

2.1. Operations of the Dino Group

2.1.1. Business profile

Dino is a Polish network consisting of medium-sized grocery supermarkets located close to clients' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

As at 31 March 2022 the Dino network consisted of 1,880 stores with a total selling area of 736,694 square meters. Dino Polska has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 871, i.e. 86%, in the period of three years up to 31 March 2022. Its network expansion has been accompanied by significant like for like (LFL) revenue growth in its current store network, which in the period of January-March 2022 stood at 20.4% compared to the corresponding period of 2021. Dino Polska continues to develop its network rapidly, consistently looking for sites for its new stores.

Dino Polska's operating strategy is based on a standardized store design, equipped with parking places for its customers and supplied with fresh products every day of the week. The sales floor area in most stores is approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products as well as a meat counter manned by store staff.

Dino Polska's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on seven distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They also enable Dino to purchase merchandise on favorable terms that should improve steadily as the sales network continues to expand. These drivers, combined with operational leverage and store network maturation, consistently enhance the Dino Group's profitability.

Dino's strategy assumes further business development by focusing on three key areas:

- continuation of rapid organic growth in the number of stores – the Management Board of Dino Polska intends to maintain the high pace of growth of the selling area in Dino stores in subsequent years. The Management Board of Dino Polska plans to continue to leverage the network's ability to grow organically in its current form by doing the following: (i) continuing to drive up its store density in its current areas of operation and (ii) steadily expanding in new regions, which ultimately should have a similar saturation of Dino stores to other regions.
- continuing to grow LFL sales revenues in the current store network – to continue growing LFL sales revenues in the existing store network, Dino Polska will take actions to augment customer traffic in Dino stores and the basket value per customer.
- consistent improvement of profitability – in past years Dino Polska generated sustainable growth in its EBITDA margin. The aim is to continue to improve profitability by expanding the scale of operations and thanks to the favorable business model and strategic initiatives undertaken by Dino Polska.

We regularly analyze the risks and opportunities related to climate change as we pursue Dino Polska's business objectives. Conserving and managing natural resources rationally are firmly entrenched in our organizational culture, while our strategy aims to curtail gradually the environmental impact exerted by the operations of the Dino Polska Group. In 2022 Dino Polska has continued to install photovoltaic panels on the rooftops of Dino stores whereby the Dino Group's electricity demand is being satisfied to an ever greater degree by renewable energy sources. In Q1 2022 the number of Dino stores outfitted with their own photovoltaic installations rose from 82 to 884 while the total capacity of these panels climbed to 32.4 MW. In this very same period the Dino Group generated 23.5 GWh of electricity from the sun versus 4.1 GWh in the corresponding period of 2021.

2.1.2. Recap of the Dino Group's operations in Q1 2022

In Q1 2022, the Dino Group's revenue totaled PLN 3,854.3 million and was PLN 1,093.6 million, i.e. 39.6% higher than in Q1 2021. Concurrently, the cost of sales rose 39.9% to PLN 2,876.9 million.

The table below presents selected line items from the consolidated statement of profit or loss.

(PLN 000s)	Q1 2022	Q1 2021	change
Sales revenue	3,854,257	2,760,700	39.6%
Cost of sales	(2,876,941)	(2,056,288)	39.9%
Gross profit on sales	977,316	704,412	38.7%
Other operating income	2,277	1,758	29.5%
Sales and marketing expenses	(680,629)	(490,665)	38.7%
General administration expenses	(33,831)	(25,309)	33.7%
Other operating expenses	(2,279)	(2,431)	-6.3%
Operating profit	262,854	187,765	40.0%
Financial income	460	193	138.3%
Financial expenses	(28,199)	(10,622)	165.5%
Profit before tax	235,115	177,336	32.6%
Income tax	(43,740)	(32,501)	34.6%
Net profit	191,375	144,835	32.1%

In Q1 2022 profit measured by EBITDA grew year on year by 37.1% to PLN 332.8 million. The EBITDA margin was 8.6% versus the 8.8% margin posted one year ago.

The following table presents EBITDA.

(PLN 000s)	Q1 2022	Q1 2021	change
Net profit	191,375	144,835	32.1%
Income tax	43,740	32,501	34.6%
Negative result on financing activity	27,739	10,429	166.0%
EBIT	262,854	187,765	40.0%
EBIT margin	6.82%	6.80%	-
Depreciation and amortization	69,961	55,017	27.2%
EBITDA	332,815	242,782	37.1%
EBITDA margin	8.63%	8.79%	-

Sales revenue

Significant top line improvement is the outcome of Dino's store network roll-out to open new stores and growing revenues in the current store network (like for like, LfL)¹. LfL sales growth in Q1 2022 was 20.4%, following 7.0% growth in the corresponding period of 2021.

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's current store network.

%	Q1 2022	Q1 2021	2021	2020	2019
Inflation (deflation)	9.7	2.7	5.1	3.4	2.3
Food price inflation	8.7	0.6	3.2	4.7	4.9
Dino's LFL	20.4	7.0	12.4	12.6	11.6

¹ Stores are included in the calculation of LfL revenues starting from the 13th full month of their existence.

Fresh products, including meat, cold cuts and poultry accounted for 38.6% of the Group's sales in Q1 2022.

The table below shows the structure of sales revenues by product in individual periods.

%	Q1 2022	Q1 2021
Fresh products	38.6	38.7
Other groceries*	48.9	48.5
Non-grocery products	12.5	12.8

* in particular: children's food, breakfast products, ready to eat meals, beverages, candies, snacks, frozen food, processed goods, oils, grain and bulk products, condiments and alcohol and cigarettes

Dino store network roll-out

In Q1 2022 Dino Polska opened 66 stores. At the end of March 2022, the Dino network consisted of 1,880 stores with a total selling area of 736.7 thousand square meters (+23.4% yoy). One year ago in Q1 Dino Polska opened 59 stores.

The following table presents information on the Dino Polska's number of stores as at specified dates.

	as at 31 March		as at 31 December		
	2022	2021	2021	2020	2019
Number of new store openings in the quarter/year	66	59	343	255	243
Total number of stores	1,880	1,532	1,815	1,473	1,218
Total selling area (m ²)	736,694	597,089	710,433	573,489	471,683

Cost of sales

The cost of sales was 74.6% and 74.5% of revenue in Q1 2022 and Q1 2021, respectively. The cost of sales rose PLN 820.7 million, i.e. by 39.9% to PLN 2,876.9 million in Q1 2022 compared to PLN 2,056.3 million in Q1 2021, with a corresponding 39.6% increase of revenue. This growth was caused mainly by the Dino Group's growing business size in connection with the expansion of the Dino store network and rising sales in the current store network (LFL). To a lesser extent, it was also driven by higher prices to purchase merchandise.

Sales and marketing expenses

Sales and marketing expenses grew by PLN 190.0 million, i.e. 38.7% to PLN 680.6 million in Q1 2022 compared to PLN 490.7 million in Q1 2021. This growth was mainly driven by the Dino Group's growing business size and the related expansion of the current store network and rising LFL sales, thereby necessitating higher costs associated with store upkeep, storage of merchandise and marketing.

General administration expenses

General administration expenses rose PLN 8.5 million to PLN 33.8 million in Q1 2022 compared to PLN 25.3 million in Q1 2021. This was caused mainly by the expansion of the Dino store network.

Costs by nature

The following table presents costs by nature.

(PLN 000s)	Q1 2022	Q1 2021*	change
Depreciation and amortization	69,961	55,017	27.2%
Consumption of materials and energy	316,745	225,627	40.4%
External services	122,346	94,065	30.1%
Taxes and fees	73,025	52,378	39.4%
Employee benefits	487,024	362,853	34.2%
Other costs by nature	14,465	9,887	46.3%
Cost of goods and materials sold	2,514,493	1,778,551	41.4%
Total costs by nature, including:	3,598,059	2,578,378	39.5%
Items captured in cost of sales	2,876,941	2,056,288	39.9%
Items captured in sales and marketing expenses	680,629	490,665	38.7%
Items captured in general administration expenses	33,831	25,309	33.7%
Movement in products	6,658	6,116	8.9%

* in the Q1 2021 report the retail sales tax enacted in early 2021 was posted in the line item entitled "Cost of goods and materials sold"; in the H1 2021 report the Company made a change to the method of presentation and the retail sales tax was moved to the line item entitled "Taxes and fees" according to the data in the table above.

Total costs by nature increased by PLN 1,019.7 million, or 39.5%, to PLN 3,598.1 million in Q1 2022, compared to PLN 2,578.4 million in Q1 2021, mainly as a result of higher: (i) cost of merchandise and materials sold (by PLN 735.9 million), (ii) costs of employee benefits (by PLN 124.2 million) and (iii) consumption of materials and energy (by PLN 91.1 million). This growth was caused mainly by the expansion of the Dino store network and rising sales in the current store network (LFL).

The costs of employee benefits rose PLN 124.2 million, i.e. 34.2% to PLN 487.0 million in Q1 2022 compared to PLN 362.9 million in Q1 2021. This growth resulted primarily from the number of Dino Group employees rising from 26,964 as at 31 March 2021 to 33,422 as at 31 March 2022 in connection with the Dino Group's expanding business size and the related expansion of the Dino store network and rising LFL sales in the current store network and, to a lesser extent, from the higher average salary in the Dino Group.

Consumption of materials and energy increased by PLN 91.1 million, or 40.4%, to PLN 316.7 million in Q1 2022 compared to PLN 225.6 million in Q1 2021. This growth was caused by the Dino Group's growing business size and the substantial increase in the price of electricity.

External services, which comprised in particular transportation services, lease and tenancy services, and maintenance services, increased by PLN 28.3 million, or 30.1%, to PLN 122.3 million in Q1 2022 compared to PLN 94.1 million in Q1 2021. This growth was caused by the Dino Group's growing business size and the related expansion of the Dino store network and rising LFL sales in the current store network.

Financial expenses

The Dino Group's financial expenses rose PLN 17.6 million, or 165.5%, to PLN 28.2 million in Q1 2022 compared to PLN 10.6 million in Q1 2021. This increase followed from higher interest rates.

Balance sheet – assets

The table below presents selected line items of the balance sheet.

(PLN 000s)	31.03.2022	31.12.2021	31.03.2021	Change 31.03.22 / 31.12.21	Change 31.03.22 / 31.03.21
Property, plant and equipment	5,171,712	4,911,353	4,004,232	5.3%	29.2%
Right-of-use assets	135,944	139,931	178,168	-2.8%	-23.7%
Intangible assets	97,071	96,947	98,460	0.1%	-1.4%
Other non-financial assets (non-current)	0	0	4	-	-100.0%
Deferred tax assets	28,870	35,116	20,546	-17.8%	40.5%
Total non-current assets	5,433,597	5,183,347	4,301,410	4.8%	26.3%
Inventories	1,477,535	1,373,463	920,601	7.6%	60.5%
Trade and other receivables	120,984	144,012	60,709	-16.0%	99.3%
Income tax receivables	0	55	0	-100.0%	-
Other non-financial assets	98,401	47,712	74,237	106.2%	32.5%
Other financial assets	1,330	1,327	985	0.2%	35.0%
Cash and cash equivalents	277,421	418,615	283,124	-33.7%	-2.0%
Total current assets	1,975,671	1,985,184	1,339,656	-0.5%	47.5%
TOTAL ASSETS	7,409,268	7,168,531	5,641,066	3.4%	31.3%

Total assets increased by PLN 240.7 million, i.e. 3.4%, from PLN 7,168.5 million as at 31 December 2021 to PLN 7,409.3 million as at 31 March 2022. Compared to 31 March 2021, total assets rose by PLN 1,768.2 million, or 31.3%.

As at 31 March 2022, the main components of total assets were: (i) property, plant and equipment (constituting 69.8%), (ii) inventories (constituting 19.9%) and (iii) cash and cash equivalents (constituting 3.7%).

Non-current assets rose by PLN 250.3 million, i.e. 4.8%, from PLN 5,183.3 million as at 31 December 2021 to PLN 5,433.6 million as at 31 March 2022. Compared to 31 March 2021, non-current assets rose by PLN 1,132.2 million, or 26.3%. In both cases this growth was caused by higher property, plant and equipment which, in turn, was caused primarily by Dino's network rollout and capital expenditures.

Current assets dropped by PLN 9.5 million, i.e. 0.5%, from PLN 1,985.2 million as at 31 December 2021 to PLN 1,975.7 million as at 31 March 2022. This drop was driven by cash and cash equivalents falling by PLN 141.2 million.

Compared to 31 March 2021, current assets increased by PLN 636.0 million, i.e. 47.5% primarily as a result of higher inventories (up PLN 556.9 million) due to the Dino Group's expanding business size.

Balance sheet – liabilities and equity

The table below presents selected line items of the balance sheet.

(PLN 000s)	31.03.2022	31.12.2021	31.03.2021	Change 31.03.22 / 31.12.21	Change 31.03.22 / 31.03.21
Share capital	9,804	9,804	9,804	0.0%	0.0%
Supplementary capital	2,707,720	2,707,720	2,063,322	0.0%	31.2%
Retained earnings	536,541	345,166	330,772	55.4%	62.2%
Other equity	7,500	7,500	7,500	0.0%	0.0%
Total equity	3,261,565	3,070,190	2,411,398	6.2%	35.3%
Interest-bearing loans and borrowings	797,823	583,014	723,582	36.8%	10.3%
Lease liabilities (LT)	43,073	46,621	61,358	-7.6%	-29.8%
Other liabilities	120	150	150	-20.0%	-20.0%
Liabilities by virtue of outstanding securities (LT)	450,000	450,000	419,937	0.0%	7.2%
Provisions for employee benefits	4,827	4,827	2,847	0.0%	69.5%
Deferred tax liability	22,008	8,187	21,681	168.8%	1.5%
Accruals and deferred revenue (LT)	3	5	7	-40.0%	-57.1%
Total non-current liabilities	1,317,854	1,092,804	1,229,562	20.6%	7.2%
Trade and other payables	2,170,329	2,454,051	1,614,817	-11.6%	34.4%
Current part of interest-bearing loans and borrowings	306,510	196,169	218,139	56.2%	40.5%
Lease liabilities (ST)	25,485	27,721	37,452	-8.1%	-32.0%
Liabilities by virtue of outstanding securities (ST)	173,951	171,642	905	1.3%	19121.1%
Income tax liabilities	78,719	93,017	69,753	-15.4%	12.9%
Accruals and deferred revenue (ST)	72,911	60,993	57,711	19.5%	26.3%
Provisions for employee benefits and other provisions	1,944	1,944	1,329	0.0%	46.3%
Total current liabilities	2,829,849	3,005,537	2,000,106	-5.8%	41.5%
Total liabilities	4,147,703	4,098,341	3,229,668	1.2%	28.4%
TOTAL EQUITY AND LIABILITIES	7,409,268	7,168,531	5,641,066	3.4%	31.3%

As at 31 March 2022, the main components of liabilities were: (i) trade and other payables representing 52.3%; (ii) interest-bearing loans and borrowings (long-term) representing 19.2% thereof and (iii) liabilities under outstanding securities representing 10.8%.

Total liabilities rose PLN 49.4 million, i.e. 1.2%, from PLN 4,098.3 million as at 31 December 2021 to PLN 4,147.7 million as at 31 March 2022. Total liabilities rose PLN 918.0 million, i.e. 28.4% from PLN 3,229.7 million as at 31 March 2021 to PLN 4,147.7 million as at 31 March 2022.

Non-current liabilities rose by PLN 225.1 million, i.e. 20.6%, from PLN 1,092.8 million as at 31 December 2021 to PLN 1,317.9 million as at 31 March 2022. Compared to 31 March 2021, non-current liabilities rose by PLN 88.3 million, or 7.2%, chiefly in connection with the expanding Dino store network.

Current liabilities fell PLN 175.7 million, or 5.8%, from PLN 3,005.5 million as at 31 December 2021 to PLN 2,829.8 million, primarily as a result of a decrease in trade and other payables.

The Dino Group's net debt² was PLN 1,519.4 million as at 31 March 2022, signifying growth of PLN 462.8 million compared to 31 December 2021 and growth of PLN 341.2 million compared to 31 March 2021. The net debt to EBITDA ratio for the last 12 months was 1.12x as at 31 March 2022. As at 31 March 2021 it was 1.08x.

² Defined as interest-bearing loans and borrowings and liabilities under lease agreements + liabilities by virtue of outstanding securities + current part of interest-bearing loans and borrowings and lease liabilities minus cash and cash equivalents.

Cash flows

The table below presents selected line items of the statement of cash flows.

(PLN 000s)	Q1 2022	Q1 2021	change
Net cash from operating activities, including:	(97,836)	193,095	-
<i>profit before tax</i>	235,115	177,336	32.6%
<i>depreciation and amortization</i>	69,961	55,017	27.2%
<i>movement in working capital</i>	(375,429)	(11,980)	3033.8%
<i>other</i>	(27,483)	(27,278)	0.8%
Net cash from investing activities	(335,368)	(366,849)	-8.6%
Net cash from financing activities	292,010	(23,540)	-
Net increase in cash and cash equivalents	(141,194)	(197,294)	-28.4%

Net cash flow from operating activities in Q1 2022 was negative and totaled PLN (97,8) million. In Q1 2021 it was PLN 193.1 million. Net cash flow from investing activities totaled PLN (335.4) million in Q1 2022, while it was PLN (366.8) million one year ago. The predominant portion of capital expenditures was incurred for the geographic expansion of the Dino store network. In February 2022 the Company's Management Board made the decision to start the construction of the Company's new distribution center in the community of Kaliska in the Kujawo-Pomeranian region. This investment is slated to be completed at the turn of 2022 and 2023.

2.1.3. Factors impacting Dino's operations and results

In the opinion of the Dino Management Board, the following factors will affect the Dino Group's business in the upcoming quarters of 2022:

- pace of new store openings by the Dino Group and the related capital expenditures;
- rising prices of agricultural commodities, electricity, natural gas, packaging and labor costs, which translates into rising costs of producing food, and hence to higher prices for the products store networks buy from food producers. In addition, the above factors directly affect the Dino Polska Group's operating expenses and taken together they may exert pressure on the Group's profitability;
- rising prices of consumer goods and services, which in the event of an excessively high pace of growth may adversely affect the purchasing power of consumers and their willingness to spend money, and as a result on sales in Dino stores;
- improved efficiency of the Company's operations, benefits resulting from economies of scale and optimization of operating expenses, as well as improved efficiency of logistics services provided to all stores.

One special factor that will affect Dino Polska's business in 2022 is the war in Ukraine. Although Dino Polska does not operate outside Poland and in principle it does not procure products in Russia and Ukraine, and therefore, on the Report Date, it has not identified a direct material impact exerted by the war on the Company's business, one cannot preclude that as a result of escalation of the military conflict, its impact on Ukraine's economy and due to the sanctions imposed on Russia, disruptions may emerge on the international markets for agricultural merchandise and other commodities. That in turn may ratchet up the pressure to increase the costs of producing foodstuffs. These costs may subsequently be passed on to store networks and that may also generally contribute to higher operating expenses among food producers and distributors. The possible impact of a military conflict in a country neighboring with Poland on the sentiment of Polish consumers may be mitigated in the case of Dino Polska's business by the fact that Dino stores distribute food, in other words, staples. In turn, the influx of refugees from Ukraine to Poland may lead to higher demand for the products offered in Dino stores.

Due to uncertainty about the future state of the economy, the Management Board's expectations and projections are subject to a high dose of uncertainty.

2.2. Shareholders of the Company and shares held by management board and supervisory board members

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino shares.

Shareholding structure of Dino Polska S.A. as at the Report Date.

	Number of shares and number of votes at the Shareholder Meeting	Percentage of share capital and votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary ³	50,160,000	51.16%
Other shareholders	47,880,000	48.84%

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska Supervisory Board.

Michał Krauze, a Management Board Member, held 30,000 Company shares as at the Report Date. Compared to the publication date of the 2021 annual report, the number of shares held by Michał Krauze has not changed. Izabela Biadała, Management Board Member, held 80 shares in the Company as at the Report Date (no change compared to the publication date of the 2021 report).

The following Supervisory Board members held shares in Dino as at the Report Date: Tomasz Biernacki (Supervisory Board Chairman) – as detailed in the table above, Eryk Bajer (Supervisory Board Member) – 33,667 shares (jointly with a controlled entity) and Sławomir Jakszuk (Supervisory Board Member) – 1,600 shares. The number of Dino Polska shares held by the Company's Supervisory Board members has not changed since the date of conveying the 2021 report.

2.3. Operating Segments

The DINO POLSKA S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network.

Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the DINO POLSKA S.A. Group as a whole, only one operating segment has been isolated.

(PLN 000s)

Revenue on sales of products and services

Revenue on sales of goods and materials

Total

	Q1 2022	Q1 2021
Revenue on sales of products and services	422,332	345,055
Revenue on sales of goods and materials	3,431,925	2,415,645
Total	3,854,257	2,760,700

³ BT Kapital Sp. z o.o., a subsidiary of Tomasz Biernacki, holds 160 thousand Company shares.

3. CONDENSED CONSOLIDATED FINANCIAL STATEMENTS OF THE DINO POLSKA S.A. GROUP

3.1. Condensed consolidated statement of profit or loss

for the period from 1 January 2022 to 31 March 2022 (PLN 000s)

	01.01.2022- 31.03.2022	01.01.2021- 31.03.2021
Continuing operations		
Sales revenue	3,854,257	2,760,700
Cost of sales	(2,876,941)	(2,056,288)
Gross profit on sales	977,316	704,412
Other operating income	2,277	1,758
Sales and marketing expenses	(680,629)	(490,665)
General administration expenses	(33,831)	(25,309)
Other operating expenses	(2,279)	(2,431)
Operating profit	262,854	187,765
Financial income	460	193
Financial expenses	(28,199)	(10,622)
Profit before tax	235,115	177,336
Income tax	(43,740)	(32,501)
Net profit from continuing operations	191,375	144,835
Net profit for the reporting period	191,375	144,835
Profit attributable:		
To owners of the parent	191,375	144,835
Earnings per share:		
– basic earnings from profit attributable to owners of the parent	1.95	1.48
– basic earnings from profit from continuing operations attributable to owners of the parent	1.95	1.48
– diluted earnings from profit attributable to owners of the parent	1.95	1.48
– diluted earnings from profit from continuing operations attributable to owners of the parent	1.95	1.48

3.2. Condensed consolidated statement of comprehensive income

for the period from 1 January 2022 to 31 March 2022 (PLN 000s)

	<u>01.01.2022- 31.03.2022</u>	<u>01.01.2021- 31.03.2021</u>
Net profit for the reporting period	191,375	144,835
<i>Items not subject to reclassification to profit in subsequent reporting periods:</i>		
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	-	-
Net other comprehensive income	-	-
Comprehensive income in the reporting period	191,375	144,835
Comprehensive income attributable:		
To owners of the parent	191,375	144,835
Non-controlling shareholders	-	-
	191,375	144,835

3.3. Condensed consolidated statement of financial position

as at 31 March 2022 (PLN 000s)

	31.03.2022	31.12.2021	31.03.2021
ASSETS			
Property, plant and equipment	5,171,712	4,911,353	4,004,232
Right-of-use assets	135,944	139,931	178,168
Intangible assets	97,071	96,947	98,460
Other non-financial assets	-	-	4
Deferred tax assets	28,870	35,116	20,546
Total non-current assets	5,433,597	5,183,347	4,301,410
Inventories	1,477,535	1,373,463	920,601
Trade and other receivables	120,984	144,012	60,709
Income tax receivables	-	55	-
Other non-financial assets	98,401	47,712	74,237
Other financial assets	1,330	1,327	985
Cash and cash equivalents	277,421	418,615	283,124
Total current assets	1,975,671	1,985,184	1,339,656
TOTAL ASSETS	7,409,268	7,168,531	5,641,066
EQUITY AND LIABILITIES			
Equity (attributable to owners of the parent)	3,261,565	3,070,190	2,411,398
Share capital	9,804	9,804	9,804
Supplementary capital	2,707,720	2,707,720	2,063,322
Retained earnings	536,541	345,166	330,772
Other equity	7,500	7,500	7,500
Non-controlling interests	-	-	-
Total equity	3,261,565	3,070,190	2,411,398
Interest-bearing loans and borrowings	797,823	583,014	723,582
Lease liabilities	43,073	46,621	61,358
Liabilities by virtue of outstanding securities	450,000	450,000	419,937
Other liabilities	120	150	150
Provisions for employee benefits	4,827	4,827	2,847
Deferred tax liability	22,008	8,187	21,681
Accruals and deferred revenue	3	5	7
Total non-current liabilities	1,317,854	1,092,804	1,229,562
Trade and other payables	2,170,329	2,454,051	1,614,817
Current part of interest-bearing loans and borrowings	306,510	196,169	218,139
Lease liabilities	25,485	27,721	37,452
Liabilities by virtue of outstanding securities	173,951	171,642	905
Income tax liabilities	78,719	93,017	69,753
Accruals and deferred revenue	72,911	60,993	57,711
Provisions for employee benefits	1,944	1,944	1,329
Total current liabilities	2,829,849	3,005,537	2,000,106
Total liabilities	4,147,703	4,098,341	3,229,668
TOTAL EQUITY AND LIABILITIES	7,409,268	7,168,531	5,641,066

3.4. Condensed consolidated statement of cash flows

for the period from 1 January 2022 to 31 March 2022 (PLN 000s)

	01.01.2022- 31.03.2022	01.01.2021- 31.03.2021
Cash flow from operating activities		
<i>Profit before tax</i>	235,115	177,336
<i>Adjustments for the line items:</i>	(332,951)	15,759
Depreciation and amortization	69,961	55,017
(Profit)/loss on investment activity	1,473	1,122
Movement in trade receivables and other receivables	9,798	50,103
Movement in inventories	(104,072)	(45,454)
Movement in liabilities, except for loans and borrowings	(281,155)	(16,629)
Interest revenue	(460)	(29)
Interest expense	27,730	10,649
Movement in prepayments, accruals and deferred revenue	(18,310)	(11,082)
Movement in provisions	-	-
Income tax paid	(37,916)	(27,938)
Other	-	-
Net cash from operating activities	(97,836)	193,095
Cash flow from investing activities		
Sale of property, plant and equipment and intangible assets	178	398
Purchase of property, plant and equipment and intangible assets	(336,003)	(367,234)
Interest received	460	29
Repayment of extended borrowings	382	334
Granting of loans	(385)	(376)
Net cash from investing activities	(335,368)	(366,849)
Cash flow from financing activities		
Payment of lease liabilities	(5,410)	(11,892)
Proceeds from obtained loans/borrowings	384,707	69,950
Repayment of loans/borrowings	(59,556)	(70,949)
Interest paid	(27,731)	(10,649)
Net cash from financing activities	292,010	(23,540)
Net increase in cash and cash equivalents	(141,194)	(197,294)
Cash at the beginning of the period	418,615	480,418
Cash at the end of the period	277,421	283,124

3.5. Condensed consolidated statement of changes in equity

for the period from 1 January 2022 to 31 March 2022 (PLN 000s)

	Attributable to owners of the parent				
	Share capital	Supplementary capital	Retained earnings	Other equity	Total
As at 1 January 2022	9,804	2,707,720	345,166	7,500	3,070,190
Net profit for 2022	-	-	191,375	-	191,375
Net other comprehensive income for 2022	-	-	-	-	-
<i>Comprehensive income for the year</i>	-	-	191,375	-	191,375
As at 31 March 2022	9,804	2,707,720	536,541	7,500	3,261,565
As at 1 January 2021	9,804	2,063,322	185,937	7,500	2,266,563
Net profit for 2021	-	-	805,303	-	805,303
Net other comprehensive income for 2021	-	-	(1,676)	-	(1,676)
<i>Comprehensive income for the year</i>	-	-	803,627	-	803,627
Distribution of the 2020 financial result	-	644,398	(644,398)	-	-
As at 31 December 2021	9,804	2,707,720	345,166	7,500	3,070,190
As at 1 January 2021	9,804	2,063,322	185,937	7,500	2,266,563
Net profit for 2021	-	-	144,835	-	144,835
Net other comprehensive income for 2021	-	-	-	-	-
<i>Comprehensive income for the year</i>	-	-	144,835	-	144,835
As at 31 March 2021	9,804	2,063,322	330,772	7,500	2,411,398

4. CONDENSED STANDALONE FINANCIAL STATEMENTS OF DINO POLSKA S.A.

4.1. Selected standalone financial data

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>01.01.2022- 31.03.2022</i>	<i>01.01.2021- 31.03.2021</i>	<i>01.01.2022- 31.03.2022</i>	<i>01.01.2021- 31.03.2021</i>
Sales revenue	3,845,271	2,759,617	827,438	603,578
Operating profit	203,874	126,146	43,870	27,590
Profit before tax	175,276	115,916	37,716	25,353
Net profit	141,960	93,817	30,547	20,519
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	1.45	0.96	0.31	0.21
Cash flow from operating activities	(176,140)	153,762	(37,902)	33,630
Cash flow from investing activities	(136,132)	(336,213)	(29,293)	(73,536)
Cash flow from financing activities	172,535	968	37,127	212
Net change in cash and cash equivalents	(139,737)	(181,483)	(30,069)	(39,694)

In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- average NBP exchange rate for Q1 2022:	4.6472 EUR/PLN
- average NBP exchange rate for Q1 2021:	4.5721 EUR/PLN

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>31.03.2022</i>	<i>31.12.2021</i>	<i>31.03.2022</i>	<i>31.12.2021</i>
Total assets	6,594,739	6,564,444	1,417,461	1,427,239
Total non-current assets	4,722,712	4,480,034	1,015,091	974,047
Total current assets	1,872,027	2,084,410	402,370	453,192
Equity	2,449,384	2,307,424	501,679	501,679
Share capital	9,804	9,804	2,107	2,132
Non-current liabilities	1,015,643	923,671	218,300	200,824
Current liabilities	2,972,194	3,210,864	638,838	698,105

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 March 2022:	4.6525 EUR/PLN
- NBP's average exchange rate as at 31 December 2021:	4.5994 EUR/PLN

4.2. Condensed standalone statement of profit or loss

for the period from 1 January 2022 to 31 March 2022 (PLN 000s)

	01.01.2022- 31.03.2022	01.01.2021- 31.03.2021
A. Net revenues on sales and equivalents	3,845,271	2,759,617
I. Net revenue on sales of products	11,833	7,675
IV. Net revenue on sales of goods and materials	3,833,438	2,751,942
B. Operating expenses	3,640,563	2,632,527
I. Depreciation and amortization	53,642	41,247
II. Consumption of materials and energy	70,433	40,508
III. External services	164,468	135,749
IV. Taxes and fees	69,108	12,677
V. Employee benefits	363,478	266,338
VI. Social security and other benefits, of which:	84,008	61,880
VII. Other costs by nature	14,178	9,709
VIII. Cost of goods and materials sold	2,821,248	2,064,419
C. Sales profit (loss) (A – B)	204,708	127,090
D. Other operating income	1,831	1,461
E. Other operating expenses	2,665	2,405
F. Operating profit (loss) (C+D-E)	203,874	126,146
G. Financial income	425	1,705
H. Financial expenses	29,023	11,935
I. Profit / (loss) before tax (F + G - H)	175,276	115,916
J. Income tax	33,316	22,099
K. Other mandatory decreases of profit (increases of loss)	-	-
L. Net profit (loss) (I – J – K)	141,960	93,817

4.3. Condensed standalone balance sheet

as at 31 March 2022 (PLN 000s)

	31.03.2022	31.12.2021	31.03.2021
Assets			
A. Non-current assets	4,722,712	4,480,034	3,638,265
I. Intangible assets	21,520	21,486	23,866
II. Property, plant and equipment	3,876,330	3,637,916	2,809,913
III. Non-current receivables	-	-	-
IV. Non-current investments	755,831	755,831	755,831
V. Non-current prepayments and accruals	69,031	64,801	48,655
B. Current assets	1,872,027	2,084,410	1,407,086
I. Inventories	1,434,604	1,344,303	882,196
II. Current receivables	167,383	199,230	94,895
III. Current investments	244,358	535,115	410,660
IV. Current prepayments and accruals	25,682	5,762	19,335
C. Contributions due to share capital	-	-	-
D. Treasury stock	-	-	-
Total assets	6,594,739	6,564,444	5,045,351

(in thousands of PLN)

Equity and liabilities

	31.03.2022	31.12.2021	31.03.2021
A. Equity	2,449,384	2,307,424	1,810,024
I. Share capital	9,804	9,804	9,804
II. Supplementary capital	1,676,055	1,676,055	1,208,019
III. Revaluation reserve (fund)	-	-	-
IV. Other reserve capital	-	-	-
V. Profit (loss) brought forward	591,217	-	468,036
VI. Net profit (loss)	141,960	591,217	93,817
VII. Other items of equity	30,348	30,348	30,348
VIII. Charges to net profit during the financial year (negative figure)	-	-	-
B. Liabilities and provisions for liabilities	4,145,355	4,257,020	3,235,327
I. Provisions for liabilities	92,709	67,654	69,674
II. Non-current liabilities	1,015,643	923,671	1,017,016
III. Current liabilities	2,972,194	3,210,864	2,102,072
IV. Accruals and deferred revenue	64,809	54,831	46,565
Total liabilities and equity	6,594,739	6,564,444	5,045,351

4.4. Condensed standalone statement of cash flows

for the period from 1 January 2022 to 31 March 2022 (PLN 000s)

	01.01.2022- 31.03.2022	01.01.2021- 31.03.2021
A. Cash flow from operating activities		
I. Net profit (loss)	141,960	93,817
II. Total adjustments	(318,100)	59,945
1. Depreciation and amortization	53,642	41,247
2. Gains (losses) arising from changes in foreign currency exchange rates	-	-
3. Interest and profit sharing (dividends)	26,066	8,564
4. Profit (loss) on investing activity	2,070	1,130
5. Movement in provisions	25,055	18,001
6. Movement in inventories	(90,301)	(34,579)
7. Movement in receivables	13,623	47,305
8. Movement in current liabilities, except for loans and borrowings	(334,083)	(10,839)
9. Movement in prepayments, accruals and deferred revenue	(14,172)	(10,884)
III. Net cash flow from operating activities (I±II)	(176,140)	153,762
B. Cash flow from investing activities		
I. Inflows	170,823	31,143
1. Sale of intangible assets and property, plant and equipment	18,402	384
2. Sale of investments in real property and intangible assets	-	-
3. From financial assets, of which:	152,421	30,759
a) in related entities	152,266	30,759
b) in other entities	155	-
- interest	155	-
II. Outflows	(306,955)	(367,356)
1. Purchase of intangible assets and property, plant and equipment	(305,922)	(315,475)
2. Investments in real property and intangible assets	-	-
3. Towards financial assets, of which:	(1,033)	(51,881)
a) in related entities	(1,033)	(51,881)
III. Net cash flow from investing activities (I-II)	(136,132)	(336,213)
C. Cash flow from financing activities		
I. Inflows	247,707	81,950
1. Net inflows on the delivery of shares (share issue) and other equity instruments and capital contributions	-	-
2. Loans and borrowings	247,707	81,950
3. Issue of debt securities	-	-
4. Other financial proceeds	-	-
II. Outflows	(75,172)	(80,982)
1. Purchase of treasury shares	-	-
2. Dividends and other distributions to owners	-	-
3. Profit-sharing expenditures other than distributions to owners	-	-
4. Repayment of loans and borrowings	(45,049)	(60,721)
5. Redemption of debt securities	-	-
6. On account of other financial liabilities	-	-
7. Payment of finance lease liabilities	(1,555)	(8,326)
8. Interest	(26,952)	(10,280)
9. Other financial expenditures	(1,616)	(1,655)
III. Net cash from financing activities (I-II)	172,535	968
D. Total net cash flow (A.III±B.III±C.III)	(139,737)	(181,483)
E. Balance sheet movement in cash, including	(139,737)	(181,483)
- movement in cash arising from changes in foreign currency exchange rates	-	-
F. Cash at the beginning of the period	380,269	423,645
G. Cash at the end of the period (F±D), including	240,532	242,162
- restricted cash	1,347	228

4.5. Condensed standalone statement of changes in equity

for the period from 1 January 2022 to 31 March 2022 (PLN 000s)

	01.01.2022- 31.03.2022	01.01.2021- 31.12.2021	01.01.2021- 31.03.2021
I. Equity at the beginning of the period (OB)	2,307,424	1,716,207	1,716,207
I.a. Equity at the beginning of the period (OB), adjusted	2,307,424	1,716,207	1,716,207
1. Share capital at the beginning of the period	9,804	9,804	9,804
1.1. Movement in share capital	-	-	-
1.2. Share capital at the end of the period	9,804	9,804	9,804
2. Supplementary capital at the beginning of the period	1,676,055	1,208,019	1,208,019
2.1. Changes to supplementary capital	-	468,036	-
(i) increase	-	468,036	-
- profit distribution	-	468,036	-
b) decrease	-	-	-
2.2. Balance of supplementary capital at the end of the period	1,676,055	1,676,055	1,208,019
3. Revaluation reserve at the beginning of the period	-	-	-
3.1. Changes in the revaluation reserve	-	-	-
3.2. Revaluation reserve at the end of the period	-	-	-
4. Other reserve capital at the beginning of the period	-	-	-
4.1. Change in other reserve capital	-	-	-
4.2. Other reserve capital at the end of the period	-	-	-
5. Profit (loss) brought forward at the beginning of the period	591,217	468,036	468,036
5.1. Profit brought forward at the beginning of the period	591,217	468,036	468,036
5.2. Profit brought forward at the beginning of the period, adjusted	591,217	468,036	468,036
(i) increase	-	-	-
b) decrease	-	(468,036)	-
- distribution of profits brought forward	-	(468,036)	-
5.3. Profit brought forward at the end of the period	591,217	-	468,036
5.4. Loss brought forward at the beginning of the period	-	-	-
5.5. Loss brought forward at the beginning of the period, adjusted	-	-	-
(i) increase	-	-	-
b) decrease	-	-	-
5.6. Losses brought forward at the end of the period	-	-	-
5.7. Profit (loss) brought forward at the end of the period	591,217	-	468,036
6. Net result	141,960	591,217	93,817
a) net profit	141,960	591,217	93,817
b) net loss	-	-	-
c) charges to profit	-	-	-
7. Other items of equity at the beginning of the period	30,348	30,348	30,348
7.1 Change in other items of equity	-	-	-
7. Other items of equity at the end of the period	30,348	30,348	30,348
8. Charges to net profit during the financial year (negative figure)	-	-	-
II. Equity at the end of the period (CB)	2,449,384	2,307,424	1,810,024
III. Equity after considering the proposed distribution of profits (coverage of losses)	2,449,384	2,307,424	1,810,024

5. NOTES TO THE FINANCIAL STATEMENTS

5.1. General rules adopted for the preparation of the interim quarterly statements

Consolidated statements

The presented interim (quarterly) condensed consolidated financial statements were prepared in accordance with:

- International Accounting Standard 34 – Interim Financial Reporting and International Financial Reporting Standards (hereinafter “IFRS”) published in the Commission Regulation (EC) no. 1725/2003 of 29 September 2003, as amended,
- to the extent not regulated by the above standards – according to the requirements of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister’s Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the consolidated financial statements for the year 2021.

These interim (quarterly) condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future.

The interim (condensed) consolidated financial statements for the period from 1 January 2022 to 31 March 2022 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

Standalone financial statements

The presented interim (quarterly) condensed standalone financial statements were prepared according to the following:

- provisions of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister’s Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the standalone financial statements for the year 2021.

These interim (quarterly) standalone financial statements have been prepared with the assumption that the Company will continue its business as a going concern in the foreseeable future.

The interim (condensed) standalone financial statements for the period from 1 January 2022 to 31 March 2022 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

The differences in the value of the disclosed data and the material differences pertaining to the accepted accounting standards (policies) between the financial statements drawn up in accordance with Polish Accounting Standards and the financial statements drawn up according to IFRS

The Company is the Group’s parent company, which has an obligation to prepare consolidated financial statements according to the IFRS standards endorsed by the EU. The Group in which the Company is the parent company prepared its first annual consolidated financial statements compliant with IFRS endorsed by the EU for the financial year ended 31 December 2013. The Group selected 1 January 2013 as the date of transition to IFRS.

The Company's date of transition to IFRS cannot be determined definitively because the Company has not made a decision on that date, nor has it prepared its first financial statements compliant with IFRS endorsed by the EU. Had the financial statements been prepared in accordance with IFRS, the main differences between the accounting standards accepted for the attached financial statements and IFRS, under the assumption that the date of transition to IFRS is 1 January 2013, would pertain in particular to the following areas:

- determination of the residual value of fixed assets,
- separation of components and determination of depreciation charges for the actual periods of use,
- retraction of the calculated depreciation charges for trademarks as of the date of the Group's transition to IFRS,
- recognition of fixed assets and lease liabilities under IFRS16.

The presentation of some lines items of the financial statements may differ between Polish Accounting Standards and IFRS. The differences in presentation do not affect the Company's equity and net result. The components of the various line items of the financial statements and the scope of additional information to the financial statements according to the Polish Accounting Standards and IFRS may differ to a material degree.

Table depicting the effects of the disclosed differences in net profit and equity:

	31.03.2022
Equity according to PAS	2,449,384
Adjusted depreciation and amortization on account of residual value	1,445
Adjusted depreciation and amortization on account of the separation of components	(4,717)
Adjustment - amortization of trademarks	8,010
Adjustment - lease of fixed assets (IFRS 16)	(9,014)
Equity according to IFRS	2,445,108
Net profit according to PAS	141,960
Adjusted depreciation and amortization on account of residual value	(22)
Adjusted depreciation and amortization on account of the separation of components	(729)
Adjustment - amortization of trademarks	195
Adjustment - lease of fixed assets (IFRS 16)	57
Net profit according to IFRS	141,461
Other comprehensive income	-

The identification and measurement of these differences require the preparation of estimates and assumptions that do affect the disclosed figures. Even though the accepted assumptions and estimates are based on the Company's best knowledge, the actual figures may vary from the anticipated figures. This note identifying the major areas of difference between Polish Accounting Standards and IFRS has been drawn up on the basis of IFRS in force as at 31 March 2022 and under the assumption that the date for transition to IFRS is 1 January 2013.

Since work is still in progress on more standards and amending the current standards, it is possible that the standards according to which the Company will prepare its first financial statements complying with IFRS will differ from the standards applicable to the preparation of this note. The assumption concerning the date as of which the values of assets and liabilities would be determined in the Company's financial statements complying with IFRS stems from the option for the Management Board to utilize the exemption contemplated by paragraph 24 of IFRS 1, according to which the Company may accept the values carried in the parent company's consolidated financial statements compliant with IFRS on the basis of the parent company's date of transition to IFRS, i.e. 1 January 2013; however, the Company's Management Board may in any event alter that decision and it may accept its own date for the transition to applying IFRS. Moreover, according to IFRS, only complete financial statements containing a balance sheet, a statement of comprehensive income and/or a statement of profit or loss, a statement of changes in equity, a statement of cash flows with comparable data and notes may accurately present financial standing, business results and cash flow according to IFRS.

5.2. Group Overview

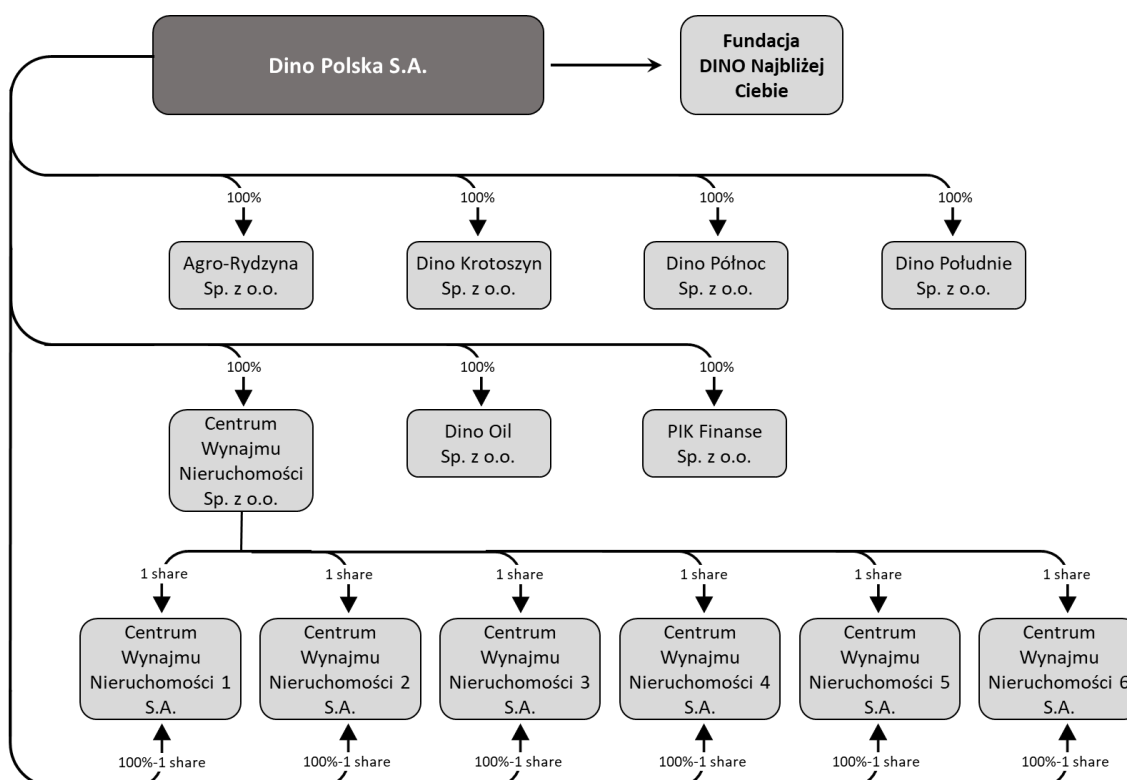
Dino Polska is the parent company of the Dino Polska Group. The company runs a business involving the management of the store network under the Dino brand. The Company manages, among others, the logistics of supply of products to the stores, sales, the selection of the product range offered in the stores, and it supports other subsidiaries (Real Estate Lease Centers) in the execution of investment processes related to securing new sites and building new stores. The Company also owns most of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

Dino Polska is run by a two-person Management Board in the following composition: Izabela Biadała, Chief Operating and Administrative Officer and Management Board Member and Michał Krauze, Chief Financial Officer and Management Board Member.

On 23 February 2022 Michał Muskała, in consultation with the Company's Management Board and Supervisory Board, tendered his resignation from serving in the capacity of a Management Board Member of DINO POLSKA S.A. with effect as of the moment of its submission. Michał Muskała justified his resignation by the need to focus on his work as a Management Board Member in DINO POLSKA S.A.'s subsidiaries responsible for the investment processes of the Dino Polska Group, especially for the construction of distribution centers. Michał Muskała continues to serve in the capacity of Management Board Member in the following companies belonging to the Dino Polska Group: Centrum Wynajmu Nieruchomości Sp. z o.o., Centrum Wynajmu Nieruchomości 1 S.A., Centrum Wynajmu Nieruchomości 2 S.A., Centrum Wynajmu Nieruchomości 3 S.A., Centrum Wynajmu Nieruchomości 4 S.A., Centrum Wynajmu Nieruchomości 5 S.A., Centrum Wynajmu Nieruchomości 6 S.A.

The Company's Supervisory Board functions in a five-person composition (Tomasz Biernacki – Chairman and members: Eryk Bajer, Sławomir Jakszuk, Piotr Nowjalis and Maciej Polanowski).

The Group consists of Dino Polska S.A. and the following subsidiaries:



In Q1 2022 there were no major changes to the organization of the Dino Polska Group.

5.3. Seasonality and business cycles

Sales revenues and financial results reported in individual quarters reflect the seasonality of sales. The Group posts increased sales revenues in the period close to holidays and in the summer. Moreover, Dino Group's revenues also depend on the number of store openings, which in the winter, especially in the first quarter of the year, is lower than in the remaining quarters of the year, in particular lower than in Q3 and Q4, because of the weather conditions hindering construction work.

5.4. Other information

Non-recurring amounts and events

The epidemiological situation in Poland was an atypical event in the Dino Group's business in the period from 1 January 2022 to 31 March 2022. In connection with this situation the Company has been applying a rigorous health regime in all its areas of activity, especially in the Dino store network, the distribution centers and in its production plant. The Company monitors the epidemiological situation and its impact on its business on an ongoing basis. As at the date of this Report, all areas of the Company's operating activity are functioning efficiently and there are no significant reasons for revising the performance targets or plans set by the Management Board for 2022.

Impairment losses

In the period covered by this report, the Group did not recognize any impairment losses for inventories.

Consolidated financial data for the period from 1 January 2022 to 31 March 2022

(PLN 000s)	31.03.2022	31.12.2021	Change
Impairment losses on receivables	1,209	1,175	34

Unconsolidated financial data for the period from 1 January 2022 to 31 March 2022

(PLN 000s)	31.03.2022	31.12.2021	Change
Impairment losses on receivables	1,143	1,109	34

Information on the recognition, increase, use and reversal of provisions

Consolidated financial data for the period from 1 January 2022 to 31 March 2022

(PLN 000s)	31.03.2022	31.12.2021	Change
Deferred tax liability	22,008	8,187	13,821
Provision for pension and similar benefits	6,771	6,771	-
	28,779	14,958	13,821

Unconsolidated financial data
for the period from 1 January 2022 to 31 March 2022

(PLN 000s)	31.03.2022	31.12.2021	Change
Deferred tax liability	86,427	61,372	25,055
Provision for pension and similar benefits	6,282	6,282	-
	92,709	67,654	25,055

Information on deferred tax liabilities and assets

Consolidated financial data
for the period from 1 January 2022 to 31 March 2022

(PLN 000s)	31.03.2022	31.12.2021	Change
Deferred tax liability	22,008	8,187	13,821
Deferred tax asset	28,870	35,116	(6,246)

Unconsolidated financial data
for the period from 1 January 2022 to 31 March 2022

(PLN 000s)	31.03.2022	31.12.2021	Change
Deferred tax liability	86,427	61,372	25,055
Deferred tax asset	69,031	64,801	4,230

Material purchase and sale transactions of property, plant and equipment

In the presented period, purchases related to the further expansion of the Dino Group store network and expansion of warehouse space as well as the purchases related to store and warehouse fit-outs constituted major transactions involving the purchase of property, plant and equipment. In the period from 1 January to 31 March 2022, the Group incurred capital expenditures (understood to mean the sum total of purchases of property, plant and equipment, including fixed assets under construction and of purchases of intangible assets, recognized in the balance sheet) of approximately PLN 327 million (roughly PLN 299 million in 2021).

Material obligations on account of property, plant and equipment purchases

As at the date of the financial statements, liabilities for property, plant and equipment purchases were related mainly to the purchase of construction services related to the ongoing rollout of the Dino Polska Group's store network. They totaled PLN 225,600 thousand. At the end of Q1 2021, investment liabilities were PLN 110,535 thousand.

Material litigation-related settlements

No material litigation appeared in the period from 1 January 2022 to 31 March 2022.

Correction of errors of previous periods

In the period covered by these statements, there were no corrections of errors of previous periods.

Changes in the economic situation and business conditions with material effect on the fair value of financial assets and financial liabilities

No occurrences covered by this item occurred in the reporting period.

Information on default on a loan or borrowing or breach of material provisions of loan or borrowing agreements

No occurrences covered by this item occurred in the reporting period.

Information on related party transactions

Related party transactions were routine in nature and concluded on an arm's length basis, at prices no different from the prices used in transactions between unrelated parties. Intra-Group transactions were eliminated in the consolidation process.

Information on changes in the fair value measurement methodology for financial instruments measured at fair value and changes in the classification of financial instruments

In this reporting period, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

Information on the issue, redemption and repayment of non-equity and equity securities

No events referred to in this header occurred in the reporting period.

Information on dividend paid (or declared), in total and per share, for common and preference shares

During the reporting period, the Parent Company did not pay out any dividend.

Events taking place after the date of the quarterly condensed financial statements, which were not included in the statements but may materially affect the issuer's future financial results

By the date of these financial statements, no events occurred that may materially affect the Group's future financial results.

Information on changes in contingent liabilities or contingent assets that have taken place since the end of the previous financial year

No change in contingent assets was recorded in the reporting period. At the end of the reporting period the Group had contingent liabilities arising from concluded preliminary agreements in the amount of PLN 877,763 thousand (as at 31 March 2021: PLN 760,749 thousand).

Other information that can materially affect the assessment of the issuer's assets, financial position and financial result

No events other than the ones described above occurred in the reporting period that could materially affect the assessment of the Group's assets, financial position and financial result.

6. OTHER INFORMATION

Position of the Management Board on possibility of achieving the previously published financial performance forecasts

The Company's Management Board did not publish any forecasts for 2022.

Proceedings pending before courts or other competent bodies for the relevant proceedings

According to the Company's best knowledge, no material proceedings pertaining to liabilities or accounts receivable of Dino Polska or its subsidiaries are pending before a court, competent authority for an administrative proceeding or public administration authority.

Information on related party transactions

Both the Parent Company and its subsidiaries enter into transactions on an arm's length basis.

Sureties, loans, borrowings or guarantees extended by the issuer or its subsidiary

In connection with the decision made in Q1 2022 to commence the construction of a new Dino distribution center in the community of Kaliska in the Kuyavian-Pomeranian region ("Investment") the Company entered into a Surety Agreement under which it guarantees payment of the amount due to the contractor of the Investment (i.e. Trasko Invest Sp. z o. o.). Payments are to be made by Centrum Wynajmu Nieruchomości Sp. z o.o., the subsidiary of DINO POLSKA S.A. responsible for conducting the Investment as part of the Dino Group. The surety is for up to the net amount of PLN 95,990 thousand plus VAT. The surety is valid until the date of payment for the last invoice remitted to the contractor of the Investments no longer than to 31 May 2023.

Other information

Up to the report's date of publication, no other material events occurred that would require disclosure.

SIGNATURES OF THE MANAGEMENT BOARD MEMBERS

Izabela Biadała – Management Board Member

Michał Krauze – Management Board Member

Krotoszyn, 5 May 2022